

Amazon.com Inc. (AMZN)

Amazon Announces Strategic Partnership With OpenAI; Framing Potential Revenue Contribution from OpenAI & Anthropic

AMZN	12m Price Target: \$280.00	Price: \$210.00	Upside: 33.3%
------	-----------------------------------	------------------------	----------------------

On February 27th, Amazon (ticker: AMZN) announced ([link](#)) a strategic partnership with OpenAI (private), which includes an investment by Amazon into OpenAI for up to \$50bn and various agreements between the two companies. Specifically, the partnership includes several key points:

- **Investment by Amazon into OpenAI (up to \$50bn)** – As part of OpenAI’s broader funding round ([link](#)), Amazon has agreed to invest up to \$50bn in OpenAI, including an initial \$15bn investment and an additional \$35bn subject to various conditions. See Amazon’s 8-K filing ([link](#)) for full details on the arrangement.
- **Increasing Capacity Commitment by OpenAI to \$138bn** – The two companies previously announced ([link](#)) a workload consumption commitment by OpenAI into AWS, which they are deepening with this announcement. The expanded commitment is for \$138bn over 8 years (expanded from previously \$38bn over 7 years) and includes 2GW of Trainium capacity (both Trainium3 and, starting in 2027, Trainium4).
- **AWS Exclusivity for OpenAI Frontier** – The companies agreed for AWS to be the exclusive third-party cloud distribution provider for OpenAI Frontier, OpenAI’s services that enable companies to build, deploy and manage AI agents across their organizations at scale. We see agentic AI as a growing theme (both in terms of AI model capabilities and adoption) across many consumer and enterprise use cases in the coming years ([link](#) | [link](#)).
- **Co-Development of Stateful Runtime Environment** – Amazon’s AWS and OpenAI have agreed to co-develop a Stateful Runtime Environment, a tool for developers to build generative AI applications and agents with seamless access to memory,

BUY

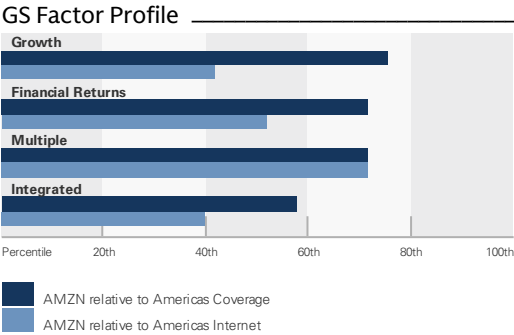
Eric Sheridan
+1(917)343-8683 | eric.sheridan@gs.com
Goldman Sachs & Co. LLC

Alex Vegliante, CFA
+1(212)934-1878 | alex.vegliante@gs.com
Goldman Sachs & Co. LLC

Aarshiya Sachdeva
+1(212)855-6184 | aarshiya.sachdeva@gs.com
Goldman Sachs & Co. LLC

Key Data	Market cap: \$2.3tr
	Enterprise value: \$2.3tr
	3m ADTV: \$10.5bn
	United States
	Americas Internet
	M&A Rank: 3

GS Forecast	12/25	12/26E	12/27E	12/28E
Revenue (\$ mn)	716,924.0	796,798.6	885,029.7	980,417.0
EBITDA (\$ mn)	145,731.0	204,558.4	249,637.6	291,123.1
EBIT (\$ mn)	79,975.0	108,560.5	136,925.8	165,963.5
EPS (\$)	7.17	7.89	9.88	11.94
P/E (X)	30.3	26.6	21.3	17.6
EV/EBITDA (X)	15.8	11.0	9.0	7.6
FCF yield (%)	0.5	(0.1)	0.9	2.0
Dividend yield (%)	–	–	–	–
Net debt/EBITDA (X)	(0.1)	(0.1)	(0.1)	(0.2)
EPS (\$)	12/25	3/26E	6/26E	9/26E
	1.95	1.51	1.94	2.03



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

Goldman Sachs does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to www.gs.com/research/hedge.html. Analysts employed by non-US affiliates are not registered/qualified as research analysts with FINRA in the U.S.

BUY

Amazon.com Inc. (AMZN)

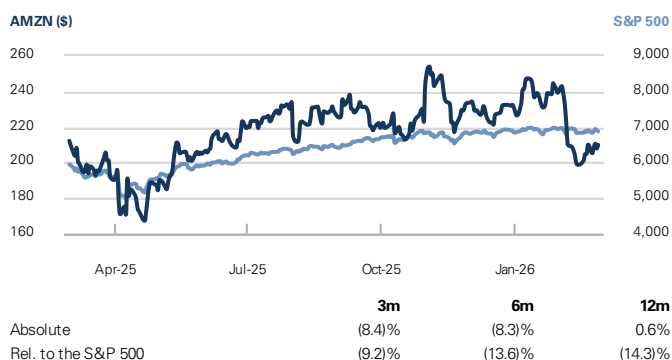
Rating since Sep 12, 2021

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	30.3	26.6	21.3	17.6
EV/EBITDA (X)	15.8	11.0	9.0	7.6
EV/sales (X)	3.2	2.8	2.5	2.3
FCF yield (%)	0.5	(0.1)	0.9	2.0
EV/DACF (X)	15.1	11.7	9.8	8.4
CROCI (%)	27.9	26.5	24.6	22.8
ROE (%)	22.3	18.6	18.7	18.4
Net debt/EBITDA (X)	(0.1)	(0.1)	(0.1)	(0.2)
Net debt/equity (%)	(5.1)	(3.1)	(4.9)	(8.8)
Interest cover (X)	35.2	50.3	64.6	79.7
Inventory days	37.1	37.6	37.5	37.4
Receivable days	31.4	33.8	35.8	38.0
Days payable outstanding	110.7	117.8	113.9	109.9

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	12.4	11.1	11.1	10.8
EBITDA growth	15.2	34.9	20.6	15.8
EPS growth	29.8	10.0	25.2	20.9
DPS growth	NM	NM	NM	NM
Gross margin	50.3	51.6	53.1	54.4
EBIT margin	11.2	13.6	15.5	16.9

Price Performance

Source: FactSet. Price as of 27 Feb 2026 close.

Income Statement (\$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	716,924.0	796,798.6	885,029.7	980,417.0
Cost of goods sold	(356,414.0)	(385,491.8)	(414,912.6)	(446,895.1)
SG&A	(167,375.0)	(180,412.7)	(193,815.0)	(206,489.9)
R&D	(108,521.0)	(122,333.6)	(139,376.4)	(161,068.6)
Other operating inc./ (exp.)	(4,639.0)	-	-	-
EBITDA	165,198.0	222,857.4	268,851.6	311,297.7
Depreciation & amortization	(65,756.0)	(95,997.9)	(112,711.8)	(125,159.6)
EBIT	79,975.0	108,560.5	136,925.8	165,963.5
Net interest inc./ (exp.)	2,107.0	1,285.9	1,362.1	2,165.8
Income/(loss) from associates	-	-	-	-
Pre-tax profit	97,311.0	109,846.4	138,287.9	168,129.3
Provision for taxes	(19,087.0)	(23,067.7)	(29,040.5)	(35,307.1)
Minority interest	(554.0)	(772.8)	(831.2)	(843.7)
Preferred dividends	-	-	-	-
Net inc. (pre-exceptionals)	77,670.0	86,005.9	108,416.3	131,978.4
Net inc. (post-exceptionals)	77,670.0	86,005.9	108,416.3	131,978.4
EPS (basic, pre-exception) (\$)	7.29	8.00	10.02	12.11
EPS (diluted, pre-exception) (\$)	7.17	7.89	9.88	11.94
EPS (ex-ESO exp., dil.) (\$)	--	--	--	--
DPS (\$)	-	-	-	-
Div. payout ratio (%)	0.0	0.0	0.0	0.0
Wtd avg shares out. (basic) (mn)	10,656.0	10,748.2	10,824.0	10,898.3
Wtd avg shares out. (diluted) (mn)	10,827.0	10,902.2	10,978.0	11,052.3

Balance Sheet (\$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	86,810.0	79,956.2	93,533.5	130,114.8
Accounts receivable	67,729.0	79,731.5	93,939.9	109,942.4
Inventory	38,325.0	41,141.8	44,139.2	47,372.3
Other current assets	36,219.0	36,219.0	36,219.0	36,219.0
Total current assets	229,083.0	237,048.5	267,831.7	323,648.6
Net PP&E	357,025.0	469,209.0	582,748.1	697,122.6
Net intangibles	23,273.0	23,273.0	23,273.0	23,273.0
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	122,607.0	122,607.0	122,607.0	122,607.0
Total assets	818,042.0	938,191.5	1,082,513.7	1,252,705.1
Accounts payable	121,909.0	126,934.4	131,960.9	137,096.1
Short-term debt	-	-	-	-
Current lease liabilities	-	-	-	-
Other current liabilities	96,096.0	104,294.9	113,308.6	123,097.5
Total current liabilities	218,005.0	231,229.3	245,269.5	260,193.6
Long-term debt	65,648.0	63,884.8	62,121.5	60,358.3
Non-current lease liabilities	87,339.0	91,722.6	96,137.6	101,015.1
Other long-term liabilities	35,985.0	35,985.0	35,985.0	35,985.0
Total long-term liabilities	188,972.0	191,592.4	194,244.1	197,358.4
Total liabilities	406,977.0	422,821.6	439,513.7	457,552.0
Preferred shares	-	-	-	-
Total common equity	411,065.0	515,369.8	643,000.1	795,153.1
Minority interest	-	-	-	-
Total liabilities & equity	818,042.0	938,191.5	1,082,513.7	1,252,705.1
BVPS (\$)	37.97	47.27	58.57	71.94

Cash Flow (\$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	77,670.0	86,005.9	108,416.3	131,978.4
D&A add-back	65,756.0	95,997.9	112,711.8	125,159.6
Minority interest add-back	-	-	-	-
Net (inc)/dec working capital	(19,969.0)	(1,595.0)	(3,165.6)	(4,311.5)
Others	16,057.0	18,299.0	19,213.9	20,174.6
Cash flow from operations	139,514.0	198,707.7	237,176.5	273,001.1
Capital expenditures	(128,320.0)	(200,720.7)	(216,778.4)	(227,617.3)
Acquisitions	(3,841.0)	-	-	-
Divestitures	-	-	-	-
Others	(10,384.0)	0.0	0.0	0.0
Cash flow from investing	(142,545.0)	(200,720.7)	(216,778.4)	(227,617.3)
Dividends paid	-	-	-	-
Share issuance/(repurchase)	-	-	-	-
Inc/(dec) in debt	11,546.0	(1,763.2)	(1,763.2)	(1,763.2)
Others	(484.0)	(3,077.6)	(5,057.6)	(7,039.3)
Cash flow from financing	11,062.0	(4,840.8)	(6,820.8)	(8,802.5)
Total cash flow	8,031.0	(6,853.8)	13,577.3	36,581.3
Free cash flow	11,194.0	(2,013.0)	20,398.1	45,383.9
Free cash flow per share (basic) (\$)	1.05	(0.19)	1.88	4.16

Source: Company data, Goldman Sachs Research estimates.

context windows and compute. These environments, powered by OpenAI models, will be available via Amazon Bedrock AgentCore and be optimized to run natively on AWS infrastructure. Amazon expects these Stateful Runtime Environments to be launched in the next few months.

- **Custom OpenAI Models for Amazon's Owned & Operated Apps/Services** – The two companies have agreed to develop models specifically for Amazon's consumer-facing apps & services in the coming years.

As for our view on strategic rationale of the announced partnership, we see this as a positive development for AMZN across a few angles:

- **AWS positioned to benefit from growing AI workloads** – We remain positive on the next era of Cloud industry secular growth driven by growing AI adoption (by both consumers and enterprises) increasing demand for both training and inference workloads. We've begun to see this secular growth theme take shape as evidenced by the sizable uptick in reported revenues and backlog commitments for AMZN (AWS), GOOGL (Google Cloud) and MSFT (Azure, covered by Gabriela Borges) and expect this to build in momentum throughout this year as supply constraints ease and capacity begins to come online. With heightened investor focus on both the level of capital intensity/return on investments for AWS and competitive landscape/market share dynamics across the major cloud service providers, we see this deal as a positive proof point toward AWS maintaining its industry-leading position and continuing to benefit from this secular growth theme
- **Supportive of Amazon's improving custom silicon efforts**, which the company announced (Trainium & Graviton combined) reached a \$10bn annual revenue run rate in Q4 2025. While Trainium still lags in general performance to best-in class chips ([link](#)) and is unlikely (in our view) to completely replace industry-leading hardware for the most valuable training and inference workloads, we see the growing adoption of Trainium by the frontier model labs (OpenAI, Anthropic) as a positive proof point for Amazon's growing ambitions in the ASICs space.
- **Amazon positioned to be a key distribution partner for consumer-facing AI capabilities** – We remain positive on Amazon's ability to capitalize on growing AI adoption by consumers and see a wide range of potential AI use cases (to be powered by OpenAI's frontier models) across agentic commerce, advertising, streaming media and generative AI assistants (Alexa, Rufus, etc).

While not announced between the companies last week, we continue to hear from advertising and commerce industry contacts that there remain multiple areas for Amazon and Generative AI companies to potentially partner in the coming years. For instance, while Amazon's current consumer shopping AI offering (Rufus) sits inside its consumer apps, we could see a development where Amazon also embraces LLM-interface agentic commerce (akin to Walmart and Shopify).

While we do not make any changes to our current Amazon company operating estimates at this time, below we update our prior analyses ([link](#) | [link](#)) to frame potential revenue contribution from both Anthropic and, now, OpenAI for AWS segment operating results in the coming years. Specifically, we leverage public disclosures of expected spend by

both companies (both inference and training compute) and flex % market share for AWS to arrive at an expected revenue contribution. Our estimates imply that **both Anthropic and OpenAI combined could generate ~\$13.2bn of revenues for AWS in 2026E and grow at a ~66% 3-year CAGR to reach ~\$60.1bn of revenues by 2029E (or ~21% of total AWS revenues)**. In the report, we frame several scenario analyses around potential revenue contribution over the next 3 years by flexing these variables of % AWS market share of training & inference workloads. In all these scenarios, there remain an upside bias to Amazon AWS's reported backlog figures and our published AWS segment revenue forecast in the coming 12-18 months. While we continue to frame a base case of 20%+ revenue CAGR for Amazon AWS (as discussed and framed in this note), the upside scenario would likely be an outcome of high 20s or 30%+ revenue growth in the coming quarters. Lastly, we would highlight that current industry checks point toward a short-term dynamic of an upward bias in terms of AWS's Q1 2026 revenue performance as well (albeit with the quarter still in progress).

Away from this announcement, in our recent earnings review note ([link](#)) we outlined several key themes that we see as likely to be the driver of forward stock performance over the short-to-medium-term: (a) how the level of elevated one-year forward capex (guide for ~\$200bn in 2026E) could improve AWS revenue and backlog growth (even when measured against its industry leading base of revenues); (b) how the company's pivot toward more local and quick commerce globally translates into forward revenue & profitability trajectory (we believe this move aligns with one of our key secular growth themes for the industry in 2026 and beyond and will likely result in increased shopper frequency and overall improve the value of Prime membership as a driver across their operations); & (c) the trajectory of eCommerce margins more broadly throughout the year (against higher volumes and a more efficient logistics network/reductions in cost to serve per unit).

Over the long-term, we remain constructive on AMZN shares and reiterate our view that Amazon can produce a strong mix of compounded revenue growth and operating margin expansion on a multi-year horizon while continuing to make critical investments in long-term growth initiatives - history with the company has been instructive that investment cycles should be utilized as good entry points in the shares against the ability to generate long-term returns. We reiterate our Buy rating & 12-month PT of \$280 - with the stock currently trading at ~21x our 2027E GAAP EPS estimate (or ~0.83x GAAP P/E-to-growth), we see AMZN as one of the most compelling risk/rewards in our coverage universe.

Anthropic and OpenAI Could Represent a Cumulative ~\$150bn Revenue Opportunity for AWS Over The Next 4 Years

For our analysis, we leverage public disclosures/press reports ([link](#) | [link](#) | [link](#)) on projected compute spend by both Anthropic and OpenAI and estimate a percentage of that spend via AWS. To the extent available, we also triangulate our estimates around announced commitments by the frontier model labels (e.g. OpenAI's 8-year, \$138bn commitment on AWS). We estimate **both Anthropic and OpenAI combined could generate ~\$13.2bn of revenues for AWS in 2026E and grow at a ~66% 3-year CAGR to reach ~\$60.1bn of revenues by 2029E (or ~21% of total AWS revenues)**.

Exhibit 1: We estimate Anthropic and OpenAI could represent a cumulative ~\$150bn revenue opportunity for AWS over the next 4 years

AWS Revenue Estimates (Anthropic, OpenAI & Other)

AWS Revenue Contribution Analysis (\$mm)		2025E	2026E	2027E	2028E	2029E	Comments
[A]	AWS Total Revenues	\$ 128,725	\$ 160,063	\$ 196,878	\$ 240,191	\$ 290,631	[B] + [O] + [V]
	YoY \$s added	\$ 21,169	\$ 31,338	\$ 36,815	\$ 43,313	\$ 50,440	
	% y/y growth	19.7%	24.3%	23.0%	22.0%	21.0%	
[B]	AWS Revenues - Anthropic	\$ 4,320	\$ 11,392	\$ 25,235	\$ 35,813	\$ 45,252	[C] + [F] + [I] + [L]
	% y/y growth	219.8%	163.7%	121.5%	41.9%	26.4%	
	% of total AWS	3.4%	7.1%	12.8%	14.9%	15.6%	
[C]	Inference Revenues	\$ 2,025	\$ 4,662	\$ 10,725	\$ 15,938	\$ 20,562	[D] * [E]
	% y/y growth	200.0%	130.2%	130.1%	48.6%	29.0%	
[D]	Anthropic - Total Inference Costs	\$ 2,700	\$ 6,660	\$ 16,500	\$ 25,500	\$ 34,270	Company forecasts (via press reports); not GS ests.
[E]	AWS % share	75.0%	70.0%	65.0%	62.5%	60.0%	Assume diversification of hyperscaler partners (inline w/ announced deals)
[F]	Training Revenues	\$ 2,025	\$ 5,400	\$ 10,350	\$ 13,500	\$ 15,750	[G] * [H]
	% y/y growth	200.0%	166.7%	91.7%	30.4%	16.7%	
[G]	Anthropic - Total Training Costs	\$ 4,500	\$ 12,000	\$ 23,000	\$ 30,000	\$ 35,000	Company forecasts (via press reports); not GS ests.
[H]	AWS % share	45.0%	45.0%	45.0%	45.0%	45.0%	Assume share of training workloads flat (Project Rainier, etc.)
[I]	CSP Revenue Share	\$ 270	\$ 1,330	\$ 4,160	\$ 6,375	\$ 8,940	[J] * [K]
	% y/y growth	27592.3%	392.6%	212.8%	53.2%	40.2%	
[J]	Anthropic - Total CSP Revenue Share	\$ 360	\$ 1,900	\$ 6,400	\$ 10,200	\$ 14,900	Company forecasts (via press reports); not GS ests.
[K]	AWS % share	75.0%	70.0%	65.0%	62.5%	60.0%	Assume diversification of hyperscaler partners (inline w/ announced deals)
[L]	Other Revenues		\$ -	\$ -	\$ -	\$ -	[M] * [N]
	% y/y growth		n/a	n/a	n/a	n/a	
[M]	Anthropic - Total Other Compute Costs		\$ 3,000	\$ 10,000	\$ 10,000	\$ 10,000	
[N]	AWS % share		0.0%	0.0%	0.0%	0.0%	
[O]	AWS Revenues - OpenAI	\$ -	\$ 1,844	\$ 5,460	\$ 10,352	\$ 14,904	[P] + [S]
	% y/y growth	n/a	n/a	196.1%	89.6%	44.0%	
	% of total AWS	0.0%	1.2%	2.8%	4.3%	5.1%	
[P]	Inference Revenues	\$ -	\$ 564	\$ 1,560	\$ 3,128	\$ 4,854	[Q] * [R]
	% y/y growth	n/a	n/a	n/a	176.6%	100.5%	
[Q]	OpenAI - Total Inference Costs	\$ 8,400	\$ 14,100	\$ 26,000	\$ 39,094	\$ 48,538	Company forecasts (via press reports); not GS ests.
[R]	% on AWS	0.0%	4.0%	6.0%	8.0%	10.0%	Assume modest share of total OpenAI workloads (against announced 8-year, \$138bn commitment)
[S]	Training Revenues	\$ -	\$ 1,280	\$ 3,900	\$ 7,225	\$ 10,050	[T] * [U]
	% y/y growth	n/a	n/a	n/a	204.7%	85.3%	
[T]	OpenAI - Total Training Costs	\$ 8,300	\$ 32,000	\$ 65,000	\$ 90,312	\$ 100,505	Company forecasts (via press reports); not GS ests.
[U]	% on AWS	0.0%	4.0%	6.0%	8.0%	10.0%	Assume modest share of total OpenAI workloads (against announced 8-year, \$138bn commitment)
[V]	AWS Revenues - Other	\$ 124,405	\$ 146,827	\$ 166,183	\$ 194,026	\$ 230,475	
	YoY \$s added	\$ 18,200	\$ 22,422	\$ 19,356	\$ 27,843	\$ 36,440	
	% y/y growth	17.1%	18.0%	13.2%	16.8%	18.8%	
	% of total AWS	96.6%	91.7%	84.4%	80.8%	79.3%	

Anthropic and OpenAI total expense figures are based on each company's projections (as reported in public press releases/press reports) and are not GS estimates

Source: Company reports, The Information, Goldman Sachs Global Investment Research

Below we present scenario analyses for both Anthropic and OpenAI's potential revenue contribution to AWS over the next 3 years by flexing AWS' % market share of each company's publicly disclosed expected training and inference workload spend. We'd highlight that we keep the total projected compute spend by both companies constant across scenarios (as we do not take a view on total projected spend but instead rely on public disclosures/press reports). Our analyses show that **Anthropic and OpenAI could be a ~400-700bps and ~100-300bps annualized tailwind, respectively, for AWS revenue growth over the next 3 years.**

Exhibit 2: AWS Revenue Scenario Analysis - Anthropic

\$mm

AWS Anthropic Revenues (\$mm)							Contribution to AWS Total Revenue Growth (Annualized, bps)								
2026E:															
AWS % Share of total Training Costs	AWS % Share of total Inference Costs						AWS % Share of total Training Costs	AWS % Share of total Inference Costs							
		62.5%	65.0%	67.5%	70.0%	72.5%		75.0%		62.5%	65.0%	67.5%	70.0%	72.5%	75.0%
	37.5%	\$ 9,850	\$ 10,064	\$ 10,278	\$ 10,492	\$ 10,706		\$ 10,920	37.5%	430 bps	446 bps	463 bps	479 bps	496 bps	513 bps
	40.0%	\$ 10,150	\$ 10,364	\$ 10,578	\$ 10,792	\$ 11,006		\$ 11,220	40.0%	453 bps	470 bps	486 bps	503 bps	519 bps	536 bps
	42.5%	\$ 10,450	\$ 10,664	\$ 10,878	\$ 11,092	\$ 11,306		\$ 11,520	42.5%	476 bps	493 bps	509 bps	526 bps	543 bps	559 bps
	45.0%	\$ 10,750	\$ 10,964	\$ 11,178	\$ 11,392	\$ 11,606		\$ 11,820	45.0%	500 bps	516 bps	533 bps	549 bps	566 bps	583 bps
	47.5%	\$ 11,050	\$ 11,264	\$ 11,478	\$ 11,692	\$ 11,906		\$ 12,120	47.5%	523 bps	539 bps	556 bps	573 bps	589 bps	606 bps
	50.0%	\$ 11,350	\$ 11,564	\$ 11,778	\$ 11,992	\$ 12,206		\$ 12,420	50.0%	546 bps	563 bps	579 bps	596 bps	613 bps	629 bps
2027E:															
AWS % Share of total Training Costs	AWS % Share of total Inference Costs						AWS % Share of total Training Costs	AWS % Share of total Inference Costs							
		57.5%	60.0%	62.5%	65.0%	67.5%		70.0%		57.5%	60.0%	62.5%	65.0%	67.5%	70.0%
	37.5%	\$ 21,793	\$ 22,365	\$ 22,938	\$ 23,510	\$ 24,083		\$ 24,655	37.5%	607 bps	627 bps	647 bps	667 bps	686 bps	706 bps
	40.0%	\$ 22,368	\$ 22,940	\$ 23,513	\$ 24,085	\$ 24,658		\$ 25,230	40.0%	627 bps	647 bps	667 bps	686 bps	706 bps	726 bps
	42.5%	\$ 22,943	\$ 23,515	\$ 24,088	\$ 24,660	\$ 25,233		\$ 25,805	42.5%	647 bps	667 bps	687 bps	706 bps	726 bps	746 bps
	45.0%	\$ 23,518	\$ 24,090	\$ 24,663	\$ 25,235	\$ 25,808		\$ 26,380	45.0%	667 bps	687 bps	707 bps	726 bps	746 bps	766 bps
	47.5%	\$ 24,093	\$ 24,665	\$ 25,238	\$ 25,810	\$ 26,383		\$ 26,955	47.5%	687 bps	707 bps	727 bps	746 bps	766 bps	786 bps
	50.0%	\$ 24,668	\$ 25,240	\$ 25,813	\$ 26,385	\$ 26,958		\$ 27,530	50.0%	707 bps	727 bps	746 bps	766 bps	786 bps	806 bps
2028E:															
AWS % Share of total Training Costs	AWS % Share of total Inference Costs						AWS % Share of total Training Costs	AWS % Share of total Inference Costs							
		55.0%	57.5%	60.0%	62.5%	65.0%		67.5%		55.0%	57.5%	60.0%	62.5%	65.0%	67.5%
	37.5%	\$ 30,885	\$ 31,778	\$ 32,670	\$ 33,563	\$ 34,455		\$ 35,348	37.5%	551 bps	569 bps	588 bps	606 bps	625 bps	643 bps
	40.0%	\$ 31,635	\$ 32,528	\$ 33,420	\$ 34,313	\$ 35,205		\$ 36,098	40.0%	566 bps	585 bps	603 bps	622 bps	640 bps	659 bps
	42.5%	\$ 32,385	\$ 33,278	\$ 34,170	\$ 35,063	\$ 35,955		\$ 36,848	42.5%	582 bps	600 bps	619 bps	637 bps	656 bps	674 bps
	45.0%	\$ 33,135	\$ 34,028	\$ 34,920	\$ 35,813	\$ 36,705		\$ 37,598	45.0%	597 bps	616 bps	634 bps	653 bps	671 bps	690 bps
	47.5%	\$ 33,885	\$ 34,778	\$ 35,670	\$ 36,563	\$ 37,455		\$ 38,348	47.5%	613 bps	632 bps	650 bps	669 bps	687 bps	706 bps
	50.0%	\$ 34,635	\$ 35,528	\$ 36,420	\$ 37,313	\$ 38,205		\$ 39,098	50.0%	629 bps	647 bps	666 bps	684 bps	703 bps	721 bps

Source: Goldman Sachs Global Investment Research, Company data, The Information

Exhibit 3: AWS Revenue Scenario Analysis - OpenAI

\$mm

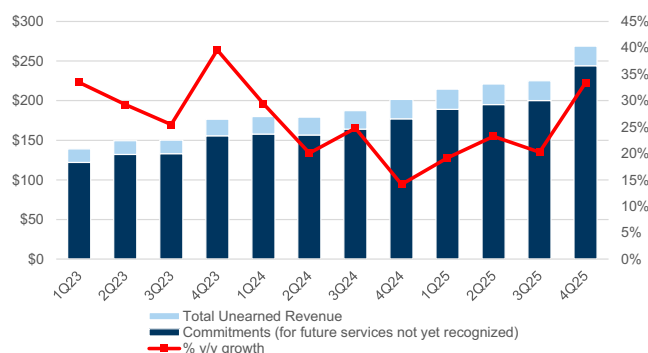
AWS OpenAI Revenues (\$mm)							Contribution to AWS Total Revenue Growth (Annualized, bps)								
2026E:															
AWS % Share of total Training Costs	AWS % Share of total Inference Costs						AWS % Share of total Training Costs	AWS % Share of total Inference Costs							
	1.0%	2.0%	3.0%	4.0%	5.0%	6.0%		1.0%	2.0%	3.0%	4.0%	5.0%	6.0%		
	1.0%	\$ 461	\$ 602	\$ 743	\$ 884	\$ 1,025		\$ 1,166	1.0%	36 bps	47 bps	58 bps	69 bps	80 bps	91 bps
	2.0%	\$ 781	\$ 922	\$ 1,063	\$ 1,204	\$ 1,345		\$ 1,486	2.0%	61 bps	72 bps	83 bps	94 bps	104 bps	115 bps
	3.0%	\$ 1,101	\$ 1,242	\$ 1,383	\$ 1,524	\$ 1,665		\$ 1,806	3.0%	86 bps	96 bps	107 bps	118 bps	129 bps	140 bps
	4.0%	\$ 1,421	\$ 1,562	\$ 1,703	\$ 1,844	\$ 1,985		\$ 2,126	4.0%	110 bps	121 bps	132 bps	143 bps	154 bps	165 bps
	5.0%	\$ 1,741	\$ 1,882	\$ 2,023	\$ 2,164	\$ 2,305		\$ 2,446	5.0%	135 bps	146 bps	157 bps	168 bps	179 bps	190 bps
	6.0%	\$ 2,061	\$ 2,202	\$ 2,343	\$ 2,484	\$ 2,625		\$ 2,766	6.0%	160 bps	171 bps	182 bps	193 bps	204 bps	215 bps
2027E:															
AWS % Share of total Training Costs	AWS % Share of total Inference Costs						AWS % Share of total Training Costs	AWS % Share of total Inference Costs							
	3.0%	4.0%	5.0%	6.0%	7.0%	8.0%		3.0%	4.0%	5.0%	6.0%	7.0%	8.0%		
	3.0%	\$ 2,730	\$ 2,990	\$ 3,250	\$ 3,510	\$ 3,770		\$ 4,030	3.0%	95 bps	104 bps	113 bps	122 bps	131 bps	140 bps
	4.0%	\$ 3,380	\$ 3,640	\$ 3,900	\$ 4,160	\$ 4,420		\$ 4,680	4.0%	117 bps	126 bps	135 bps	144 bps	154 bps	163 bps
	5.0%	\$ 4,030	\$ 4,290	\$ 4,550	\$ 4,810	\$ 5,070		\$ 5,330	5.0%	140 bps	149 bps	158 bps	167 bps	176 bps	185 bps
	6.0%	\$ 4,680	\$ 4,940	\$ 5,200	\$ 5,460	\$ 5,720		\$ 5,980	6.0%	163 bps	172 bps	181 bps	190 bps	199 bps	208 bps
	7.0%	\$ 5,330	\$ 5,590	\$ 5,850	\$ 6,110	\$ 6,370		\$ 6,630	7.0%	185 bps	194 bps	203 bps	212 bps	221 bps	230 bps
	8.0%	\$ 5,980	\$ 6,240	\$ 6,500	\$ 6,760	\$ 7,020		\$ 7,280	8.0%	208 bps	217 bps	226 bps	235 bps	244 bps	253 bps
2028E:															
AWS % Share of total Training Costs	AWS % Share of total Inference Costs						AWS % Share of total Training Costs	AWS % Share of total Inference Costs							
	5.0%	6.0%	7.0%	8.0%	9.0%	10.0%		5.0%	6.0%	7.0%	8.0%	9.0%	10.0%		
	5.0%	\$ 6,470	\$ 6,861	\$ 7,252	\$ 7,643	\$ 8,034		\$ 8,425	5.0%	134 bps	142 bps	150 bps	158 bps	167 bps	175 bps
	6.0%	\$ 7,373	\$ 7,764	\$ 8,155	\$ 8,546	\$ 8,937		\$ 9,328	6.0%	153 bps	161 bps	169 bps	177 bps	185 bps	193 bps
	7.0%	\$ 8,277	\$ 8,667	\$ 9,058	\$ 9,449	\$ 9,840		\$ 10,231	7.0%	172 bps	180 bps	188 bps	196 bps	204 bps	212 bps
	8.0%	\$ 9,180	\$ 9,571	\$ 9,962	\$ 10,352	\$ 10,743		\$ 11,134	8.0%	190 bps	198 bps	207 bps	215 bps	223 bps	231 bps
	9.0%	\$ 10,083	\$ 10,474	\$ 10,865	\$ 11,256	\$ 11,647		\$ 12,037	9.0%	209 bps	217 bps	225 bps	233 bps	241 bps	250 bps
	10.0%	\$ 10,986	\$ 11,377	\$ 11,768	\$ 12,159	\$ 12,550		\$ 12,941	10.0%	228 bps	236 bps	244 bps	252 bps	260 bps	268 bps

Source: Goldman Sachs Global Investment Research, Company data, The Information

Reiterating Confidence in Path to Sustained 20%+ Revenue Growth & 30%+ EBIT Margins for AWS

As outlined in previous reports ([link](#) | [link](#)) and as further supported by this announcement, **we remain convinced that AWS can achieve a ~20%+ revenue CAGR over the next 3 years**. Over the past few quarters, we've witnessed continued strength & accelerating growth trends in backlog commitments for public cloud players, which we view as a leading indicator of medium-to-long term cloud growth and revenue performance. AWS specifically continues to show healthy backlog growth, with Q4'25 reported backlog growing +38% YoY (from +22% YoY in Q3'25 and +25% YoY in Q2'25).

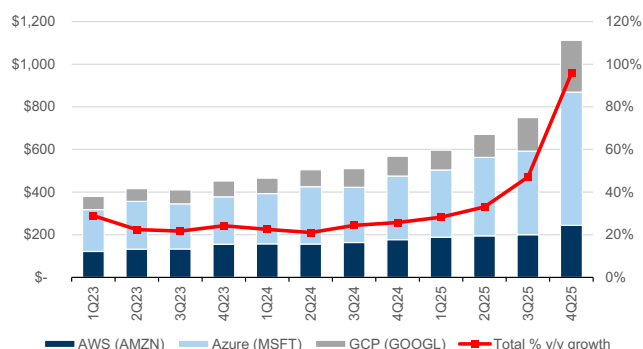
Exhibit 4: AMZN Unearned Revenue & Commitments
\$bn



Unearned revenue is primarily related to AWS & Prime memberships and recorded on balance sheet. Commitments for future services not yet recognized are AWS contracts with original terms >1 year that have not been recognized in financial statements.

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Hyperscaler / Public Cloud Backlog
\$bn



AMZN: Represents commitments for future services not yet recognized (AWS contracts with original terms >1 year that have not been recognized in financial statements); MSFT: Represents Commercial RPO; GOOGL: Represents remaining performance obligations ("revenue backlog"), primarily related to Google Cloud

Source: Company data, Goldman Sachs Global Investment Research

We also remain confident in our view of sustained 30%+ EBIT margins for AWS over the next 3 years. Amazon's reported AWS GAAP EBIT margins have fluctuated over the past several quarters due to a number of one-time factors (accounting changes to useful life assumptions of assets impacting D&A, timing/magnitude of SBC vs. historical seasonality; severance-related charges; etc.), which has led to some debate around where AWS GAAP EBIT margins could normalize to in 2026 & beyond. That said (& despite an estimated increase in D&A expenses from the significant step-up in capital intensity), we gain comfort in underwriting normalized AWS EBIT margins in the 30%+ range (higher vs. LT historical avg. of high-20s%). Specifically, we expect headwinds around both higher D&A intensity over time (related to the step-up in technology infrastructure capital investments) and an increase in non-D&A opex (as we expect AWS to reallocate capital towards headcount/other investments to capitalize on the Generative AI opportunity) to be offset by a combination of scale, durability of healthy revenue growth (supported by strong backlog metrics & increasing contribution from AI workloads) and prior cost efficiency measures against a relatively fixed opex base.

Exhibit 6: AWS Capital Intensity to Remain Elevated vs. Historical Norm

Amazon Capital Intensity Analysis - AWS vs. Non-AWS

Amazon Capital Investments (by Segment)	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E	2031E
Total Capital Investments	\$ 48,775	\$ 78,512	\$ 131,231	\$ 205,242	\$ 222,490	\$ 234,529	\$ 247,153	\$ 260,439	\$ 274,461
% y/y growth	-17.3%	61.0%	67.1%	56.4%	8.4%	5.4%	5.4%	5.4%	5.4%
% capital intensity	8.5%	12.3%	18.3%	25.8%	25.1%	23.9%	22.8%	21.8%	21.0%
AWS Capital Investments	\$ 25,064	\$ 48,770	\$ 88,957	\$ 150,853	\$ 165,755	\$ 177,069	\$ 189,072	\$ 201,840	\$ 215,452
% y/y growth	-6.9%	94.6%	82.4%	69.6%	9.9%	6.8%	6.8%	6.8%	6.7%
% of total capital investments	51.4%	62.1%	67.8%	73.5%	74.5%	75.5%	76.5%	77.5%	78.5%
% capital intensity	27.6%	45.3%	69.1%	94.2%	84.2%	73.7%	65.1%	57.9%	51.9%
Non-AWS Capital Investments	\$ 23,711	\$ 29,742	\$ 42,274	\$ 54,389	\$ 56,735	\$ 57,460	\$ 58,081	\$ 58,599	\$ 59,009
% y/y growth	-26.1%	25.4%	42.1%	28.7%	4.3%	1.3%	1.1%	0.9%	0.7%
% of total capital investments	48.6%	37.9%	32.2%	26.5%	25.5%	24.5%	23.5%	22.5%	21.5%
% capital intensity	4.9%	5.6%	7.2%	8.5%	8.2%	7.8%	7.3%	6.9%	6.6%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: AWS to manage D&A headwinds with cost efficiencies and scaling topline growth

AWS GAAP EBIT Analysis (D&A v. Non-D&A Opex)

AWS Segment Analysis (\$mm)	2023E	2024E	2025E	2026E	2027E	2028E	2029E	2030E	2031E
Revenue	\$ 90,757	\$ 107,556	\$ 128,725	\$ 160,063	\$ 196,878	\$ 240,191	\$ 290,631	\$ 348,757	\$ 415,021
% y/y growth	13.3%	18.5%	19.7%	24.3%	23.0%	22.0%	21.0%	20.0%	19.0%
Capital Investments	\$ 25,064	\$ 48,770	\$ 88,957	\$ 150,853	\$ 165,755	\$ 177,069	\$ 189,072	\$ 201,840	\$ 215,452
% y/y growth	-6.9%	94.6%	82.4%	69.6%	9.9%	6.8%	6.8%	6.8%	6.7%
% capital intensity	27.6%	45.3%	69.1%	94.2%	84.2%	73.7%	65.1%	57.9%	51.9%
GAAP EBIT	\$ 24,631	\$ 39,834	\$ 45,606	\$ 52,911	\$ 65,080	\$ 81,199	\$ 100,430	\$ 123,132	\$ 149,640
% margin	27.1%	37.0%	35.4%	33.1%	33.1%	33.8%	34.6%	35.3%	36.1%
% incremental margin	16.8%	90.5%	27.3%	23.3%	33.1%	37.2%	38.1%	39.1%	40.0%
Total GAAP Expenses	\$ 66,126	\$ 67,722	\$ 83,119	\$ 107,153	\$ 131,798	\$ 158,992	\$ 190,200	\$ 225,625	\$ 265,381
% y/y growth	15.5%	2.4%	22.7%	28.9%	23.0%	20.6%	19.6%	18.6%	17.6%
D&A Expenses*	\$ 12,531	\$ 13,320	\$ 21,450	\$ 40,711	\$ 59,162	\$ 78,769	\$ 96,858	\$ 111,032	\$ 118,978
% y/y growth	26.9%	6.3%	61.0%	89.8%	45.3%	33.1%	23.0%	14.6%	7.2%
Non-D&A Expenses	\$ 53,595	\$ 54,402	\$ 61,669	\$ 66,442	\$ 72,636	\$ 80,223	\$ 93,342	\$ 114,592	\$ 146,403
% y/y growth	13.1%	1.5%	13.4%	7.7%	9.3%	10.4%	16.4%	22.8%	27.8%

*D&A Expenses include only depreciation expense on PP&E assets (as reported in company filings)

Source: Company data, Goldman Sachs Global Investment Research

Valuation & Key Risks:

Our 12m PT of \$280 (unchanged) is based on: (1) An equal blend of EV/GAAP EBITDA applied to our NTM+1 estimates and a modified DCF using an EV/(FCF-SBC) multiple applied to our NTM+4 estimates discounted back 3 years; (2) SOTP of EV/EBIT applied to North America and AWS segments, and EV/Sales applied to the International segment, all based on NTM+1 estimates. Specifically:

Exhibit 8: Amazon PT Analysis

Blended Valuation	Valuation
Standard Multiples Approach (Consolidated EV/EBITDA, EV/FCF-SBC)	\$ 280
SOTP Valuation	\$ 280
Price Target Based on Average of 2 Valuation Approaches*	\$ 280

*Rounded to the nearest \$5 increment

Source: Goldman Sachs Global Investment Research

Method 1

- 16.0x EV/GAAP EBITDA (unchanged) applied to our NTM+1 estimates.
- 50.0x EV/FCF-SBC multiple (unchanged) applied to our NTM+4 estimates discounted back 3 years at 12%. The discount rate represents CAPM using the blended average of companies within our coverage universe consisting of: (1) 3% risk free rate (based on the normalized 10-year rate); (2) average beta of ~1.3; (3) equity risk premium of 7%.

Exhibit 9: Amazon Valuation Method 1

\$mm, except per share data

Scenario Analysis			
	Downside	Base	Upside
Valuation	\$ 160	\$ 280	\$ 410
% upside/downside	-24%	33%	95%
Sales (NTM)	\$ 776,879	\$ 796,799	\$ 816,719
Downside/Upside Adjustment	-2.5%	-	2.5%
Sales (NTM+1)	\$ 840,778	\$ 885,030	\$ 929,281
Downside/Upside Adjustment	-5%	-	5%
EV / NTM+1 Sales (implied)	2.8x	4.5x	5.8x
Sales CAGR	8.3%	11.1%	13.9%
EV / Sales to Growth	0.33x	0.41x	0.42x
GAAP EBITDA (NTM)	\$ 191,676	\$ 204,558	\$ 217,840
GAAP EBITDA Margin %	24.7%	25.7%	26.7%
GAAP EBITDA (NTM+1)	\$ 193,379	\$ 249,638	\$ 271,412
GAAP EBITDA Margin %	23.0%	28.2%	29.2%
EV / NTM+1 GAAP EBITDA	12.0x	16.0x	20.0x
GAAP EBITDA CAGR	15%	31%	36%
EV / GAAP EBITDA-to-Growth	0.79x	0.52x	0.55x
Enterprise Value	\$ 2,320,548	\$ 3,994,202	\$ 5,428,246
FCF-SBC (NTM+4)	\$ 45,822	\$ 57,743	\$ 69,664
FCF-SBC as % Sales	3.8%	4.8%	5.8%
EV / NTM+4 (FCF-SBC)	35.0x	50.0x	65.0x
FCF-SBC CAGR	-327.9%	-346.1%	-362.0%
Discount Rate	15%	12%	10%
Discount Period (Years)	3	3	3
Enterprise Value (NTM+3)	\$ 1,603,773	\$ 2,887,161	\$ 4,528,184
Discounted Enterprise Value (NTM)	\$ 1,054,507	\$ 2,055,024	\$ 3,402,092
Weighting			
EV derived from GAAP EBITDA	50%	50%	50%
EV derived from FCF-SBC	50%	50%	50%
Enterprise Value	\$ 1,687,527	\$ 3,024,613	\$ 4,415,169
Capital Structure Adjustments			
Adjusted Net Debt - NTM	\$ (56,287)	\$ (56,287)	\$ (56,287)
Shares Outstanding - NTM	10,932	10,932	10,932

Source: Goldman Sachs Global Investment Research, FactSet

Method 2

- 18.5x EV/GAAP EBIT (from 18.0x prior) or ~0.6x EV/GAAP EBIT-to-growth (unchanged) applied to North America business. We slightly raise our absolute multiple given greater confidence in AMZN's NA profitability and apply an 18.5x multiple to maintain our ~0.6x multiple-to-growth.
- 2.0x EV/Sales applied to International business (unchanged).
- 25.0x EV/GAAP EBIT applied to AWS business (unchanged).

Exhibit 10: Amazon Valuation Method 2

\$mm, except per share data

SOTP Method	LTM	NTM	NTM+1
North America Operating Income	\$ 29,619	\$ 42,447	\$ 50,898
EV / NTM+1 GAAP OI			18.5x
Operating Income CAGR			31.1%
EV / GAAP OI to Growth			0.60x
Enterprise Value			\$ 941,610
International Revenue	\$ 161,894	\$ 182,327	\$ 204,829
EV / NTM+1 Sales			2.0x
Sales CAGR			12.5%
EV / Sales to Growth			0.16x
Enterprise Value			\$ 409,658
AWS Operating Income	\$ 45,606	\$ 52,911	\$ 65,080
EV / NTM+1 GAAP OI			25.0x
Operating Income CAGR			19.5%
EV / GAAP OI to Growth			1.28x
Enterprise Value			\$ 1,626,999
Total Enterprise Value			\$ 2,978,266
Net Debt (Cash)			\$ (56,287)
Market Cap (\$m)			\$ 3,034,554
Diluted Shares			10,932
Valuation			\$ 280

Source: Goldman Sachs Global Investment Research

Key risks include: (-) Any impact to eCommerce or Cloud growth from competition; lack of success in scaling high margin businesses including Advertising, Cloud, third-party selling and the subscription business; investments across any array of initiatives creating a headwind to gross or operating margin; any product or platform changes necessary to comply with changes to the global regulatory environment; exposure to the volatility caused by the global macroeconomic environment and investor risk appetite for growth stocks.

Disclosure Appendix

Reg AC

We, Eric Sheridan, Alex Vegliante, CFA and Aarshiya Sachdeva, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

The rating(s) for Amazon.com Inc. is/are relative to the other companies in its/their coverage universe: ACV Auctions Inc., Airbnb Inc., Alphabet Inc., Amazon.com Inc., Angi Inc., AppLovin Corp., Booking Holdings Inc., Bumble Inc., Chewy Inc., Clear Secure Inc., Corsair Gaming Inc., Coursera Inc., Cricut Inc., DoorDash Inc., DoubleVerify Inc., DraftKings Inc., Duolingo Inc., Ethos Technologies Inc., Expedia Group, Fiverr International Ltd., Frontdoor Inc., GoodRx Holdings Inc., Grindr Inc., Groupon Inc., IAC Inc., Ibotta Inc., Instacart, Lyft Inc., Match Group, MediaAlpha Inc., Meta Platforms Inc., Netflix Inc., Nextdoor Holdings, Opera Ltd., Pattern Group Inc., Peloton Interactive Inc., Pinterest Inc., Playtika, Reddit Inc., Roblox, Snap Inc., Sportradar Group, Spotify Technology S.A., StubHub Holdings, Take-Two Interactive Software Inc., TripAdvisor Inc., Uber Technologies Inc., Unity Software Inc., Upwork Inc., Wayfair Inc., Webtoon Entertainment Inc., Xometry Inc., Yelp Inc., ZipRecruiter Inc., eBay Inc.

Company-specific regulatory disclosures

The following disclosures relate to relationships between The Goldman Sachs Group, Inc. (with its affiliates, "Goldman Sachs") and companies covered by Goldman Sachs Global Investment Research and referred to in this research.

Goldman Sachs has received compensation for investment banking services in the past 12 months: Amazon.com Inc. (\$210.00)

Goldman Sachs expects to receive or intends to seek compensation for investment banking services in the next 3 months: Amazon.com Inc. (\$210.00)

Goldman Sachs has received compensation for non-investment banking services during the past 12 months: Amazon.com Inc. (\$210.00)

Goldman Sachs had an investment banking services client relationship during the past 12 months with: Amazon.com Inc. (\$210.00)

Goldman Sachs had a non-investment banking securities-related services client relationship during the past 12 months with: Amazon.com Inc. (\$210.00)

Goldman Sachs had a non-securities services client relationship during the past 12 months with: Amazon.com Inc. (\$210.00)

Goldman Sachs has managed or co-managed a public or Rule 144A offering in the past 12 months: Amazon.com Inc. (\$210.00)

Goldman Sachs makes a market in the securities or derivatives thereof: Amazon.com Inc. (\$210.00)

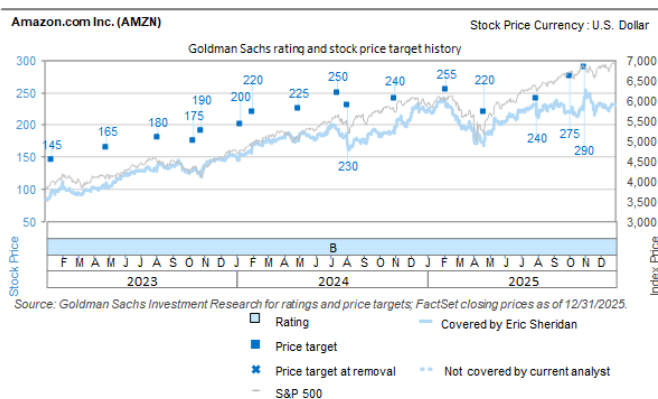
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	61%	46%

As of January 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,055 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Regulatory disclosures

Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; for equity securities, market making and/or specialist role. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Distribution of ratings: See the distribution of ratings disclosure above. **Price chart:** See the price chart, with changes of ratings and price targets in prior periods, above, or, if electronic format or if with respect to multiple companies which are the subject of this report, on the Goldman Sachs website at <https://www.gs.com/research/hedge.html>.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at <https://www.gs.com/worldwide/brazil/area/gir/index.html>. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details can be found at:

<https://www.goldmansachs.com/worldwide/india/documents/Grievance-Redressal-and-Escalation-Matrix.pdf>, and a copy of the annual audit compliance report can be found at this link: <https://publishing.gs.com/content/site/india-annual-compliance-report.html>. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for “professional investors” within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither “registered banks” nor “deposit takers” (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for “wholesale clients” (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

European Union and United Kingdom: Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at <https://www.gs.com/disclosures/europeanpolicy.html> which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

Japan: Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, The Investment Trusts Association, Japan, and Japan Investment Advisers Association. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

Ratings, coverage universe and related definitions

Buy (B), Neutral (N), Sell (S) Analysts recommend stocks as Buys or Sells for inclusion on various regional Investment Lists. Being assigned a Buy or Sell on an Investment List is determined by a stock's total return potential relative to its coverage universe. Any stock not assigned as a Buy or a Sell on an Investment List with an active rating (i.e., a stock that is not Rating Suspended, Not Rated, Early-Stage Biotech, Coverage Suspended or Not Covered), is deemed Neutral. Each region manages Regional Conviction Lists, which are selected from Buy rated stocks on the respective region's Investment Lists and represent investment recommendations focused on the size of the total return potential and/or the likelihood of the realization of the return across their respective areas of coverage. The addition or removal of stocks from such Conviction Lists are managed by the Investment Review Committee or other designated committee in each respective region and do not represent a change in the analysts' investment rating for such stocks.

Total return potential represents the upside or downside differential between the current share price and the price target, including all paid or anticipated dividends, expected during the time horizon associated with the price target. Price targets are required for all covered stocks. The total return potential, price target and associated time horizon are stated in each report adding or reiterating an Investment List membership.

Coverage Universe: A list of all stocks in each coverage universe is available by primary analyst, stock and coverage universe at <https://www.gs.com/research/hedge.html>.

Not Rated (NR). The investment rating, target price and earnings estimates (where relevant) are removed pursuant to Goldman Sachs policy when Goldman Sachs is acting in an advisory capacity in a merger or in a strategic transaction involving this company, when there are legal, regulatory or policy constraints due to Goldman Sachs' involvement in a transaction, and in certain other circumstances. **Early-Stage Biotech (ES).** An investment rating and a target price are not assigned pursuant to Goldman Sachs policy when this company neither has a drug, treatment or medical device that has passed a Phase II clinical trial nor a license to distribute a post-Phase II drug, treatment or medical device. **Rating Suspended (RS).** Goldman Sachs Research has suspended the investment rating and price target for this stock, because there is not a sufficient fundamental basis for determining an investment rating or target price. The previous investment rating and target price, if any, are no longer in effect for this stock and should not be relied upon. **Coverage Suspended (CS).** Goldman Sachs has suspended coverage of this company. **Not Covered (NC).** Goldman Sachs does not cover this company.

Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International (“GSI”), authorised by the Prudential Regulation Authority (“PRA”) and regulated by the Financial Conduct Authority (“FCA”) and the PRA, has approved this research in connection with its distribution in the United Kingdom.

European Economic Area: Goldman Sachs Bank Europe SE (“GSBE”) is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (<https://www.sipc.org>).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

The analysts named in this report may have from time to time discussed with our clients, including Goldman Sachs salespersons and traders, or may discuss in this report, trading strategies that reference catalysts or events that may have a near-term impact on the market price of the equity securities discussed in this report, which impact may be directionally counter to the analyst's published price target expectations for such stocks. Any such trading strategies are distinct from and do not affect the analyst's fundamental equity rating for such stocks, which rating reflects a stock's return potential relative to its coverage universe as described herein.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, and buy or sell, the securities or derivatives, if any, referred to in this research, unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at <https://www.theocc.com/about/publications/character-risks.jsp> and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

Differing Levels of Service provided by Global Investment Research: The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to <https://research.gs.com>.

Disclosure information is also available at <https://www.gs.com/research/hedge.html> or from Research Compliance, 200 West Street, New York, NY 10282.

© 2026 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or finetune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a prompt or input to any such system.